

to the real nature and value of what he owns. The competitive pressure to take advantage of a limited opportunity introduces an element of compulsion into the exercise of the conversion right which is directly opposed to that freedom of choice for a reasonable time which is the essential merit of such a privilege. There seems no reason why investment bankers should inject so confusing and contradictory a feature into a security issue. Sound practice would dictate its complete abandonment or in any event the avoidance of such issues by intelligent investors.

Issues Convertible into Preferred Stock. Many bond issues were formerly made convertible into preferred stock. Ordinarily some increase in income was offered to make the provision appear attractive. (For examples, see Missouri-Kansas-Texas Railroad Company Adjustment 5s, due 1967, convertible prior to January 1, 1932 into \$7 preferred stock; Central States Electric Corporation Debenture 5s, due 1948, convertible into \$6 preferred stock; G. R. Kinney Company Secured 7¹/₂s, due 1936, convertible into \$8 preferred stock; American Electric Power Corporation 6s, due 1957, convertible into \$7 preferred stock.)

There have been instances in which a fair-sized profit has been realized through such a conversion right, but the upper limitation on the market value of the ordinary preferred stock is likely to keep down the maximum benefits from such a privilege to a modest figure. Moreover, since developments in recent years have made preferred stocks in general appear far less desirable than formerly, the right to convert, say, from a 4% bond into a 5% preferred is likely to constitute more of a danger to the unwary than an inducement to the alert investor. If the latter is looking for convertibles, he should canvass the market thoroughly and endeavor to find a suitably secured issue convertible into common stock. In a few cases where bonds are convertible into preferred stock, the latter is in turn convertible into common or participates therewith, and this double arrangement may be equivalent to convertibility of the bond into common stock. For example, International Hydro-Electric System 6s, due 1944, are convertible into Class A stock, which is in reality a participating second preferred.